



Many of the Big Bazaar outlets now bear the Smart Bazaar name with the Reliance logo

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whatever is relevant without getting close to the legal line.

Senior officials in the Future Group, who wanted to remain anonymous, maintain that any allegation of collusion between them and Reliance is inaccurate. One top executive goes to the extent of saying Future Retail was continuously losing money but the option of ceasing operations never arose. “If we had done that, the entire value of the business would be down to zero. Banks would naturally have pushed for liquidation,” he explains. Admitting that the financial situation was “in dire straits”, he says if Reliance had not stepped in and given working capital credit, the company would not have existed by mid-2020. “In the process, our dues to Reliance kept increasing. We were hoping to sell our small-format stores and settle the dues with the banks through a one-time restructuring (₹3,500 crore against a total debt of ₹17,000 crore). But the Amazon deal came in between and we defaulted last December.”

As banks panicked, Future Retail became a non-performing asset and the official insists that Reliance “got jittery”. Creditors are way down the pecking order after bankers and Reliance, he says, “decided to give the termination notice fearing their money would never come”. Over ₹4,000 crore was given to



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VIVEK PARTI
INSOLVENCY RESOLUTION
PROFESSIONAL

FRL by Reliance to fund the working capital requirement.

Options left

As things stand, many questions remain unanswered, such as, what does Amazon now do? According to Sudip Mahapatra, Partner at law firm S&R Associates, there is an option for Amazon to seek a reversal of the takeover of the leases. “However, given that Reliance is not a party in the litigation between Future Retail and Amazon, it is unclear whether a court will grant such relief. In this context, it is important to remember that Future has maintained that it has not transferred the leases. Rather, the leases have been taken over due to missed payments.” On the issue of Amazon seeking damages from Future, he thinks, it will be a challenge, “given Future’s denial of its involvement in the transfer of the leases”.

Then, there is the no small matter of the ₹17,000 crore that needs to go back to the lending banks, a consortium led by Bank of India. Mahapatra thinks lenders could either enforce their security interests over the assets of Future Retail or initiate IBC (Insolvency and Bankruptcy Code) proceedings. “They could also wait for the outcome of the legal proceedings between Amazon and Future. Assuming the Future-Reliance deal eventually goes through, they could look to recover their dues from the merged business,” he says.

Insolvency Resolution Professional Vivek Parti speaks of the issue being “a legal quagmire”. The hope, at least from the lenders’ point of view, is that the issue goes back to the IBC. “The question is how it might be untangled, especially from the perspective of the lenders, where the greatest exposure is from the public sector financial institutions and banks in addition to Future Group’s own public shareholders,” he explains. To Parti, the worry is Future’s shareholders being the last in the priority of payments under IBC. “It is likely that the case will be admitted on account of default. Reliance has reiterated its commitment to the scheme of asset buyout and Future’s promoters are also in favour of it. However, lenders may prefer the scheme to be approved under IBC and some write-offs could happen.”

The fine print in this takeover of stores by Reliance has a few layers to it. Reliance became the main tenant under the store leases at some point